

why you should consult your company's employee benefits or human resources department to find out the exact date you'll be vested.

Q: Can my employer raid my 401(k) to help himself?

A: If the company you work for is facing rough financial times, you may worry whether your boss can dip into the 401(k) to pay his bills. The answer: No. Your employer is not legally allowed to use the 401(k) money for business purposes. What's more, if your employer files for bankruptcy, the 401(k) money is protected and none of the employer's creditors can touch your account. The person (or company) who is legally responsible for ensuring that no one tampers with your 401(k) is called the trustee. The trustee might be, for example, a bank or the president of your company. And what if your employer decides to end the plan, as unlikely as that may be? You'll still be okay, because you'll receive all the money you put in plus any contributions your employer made on your behalf (as long as you are vested).

The Scoop on IRAs

Q: What's the safest thing I can put my IRA money in?

A: If you're terrified of losing any money, you can open an IRA at a bank and put the money in a CD (certificate of deposit). If you decide to open your IRA at a no-load mutual fund company like I recommend, a money market fund is nearly as safe. Neither of these is likely to keep up with inflation over the long haul, though.

Q: If I'm willing to take a little more risk for the potential of higher earnings, what should I do with my IRA?

A: Historically, the biggest payoff has come from stock mutual funds, followed by bond mutual funds. And although nobody knows for sure, many experts think that this will be the case for the long term.

If you have at least \$3,000, you can invest a portion of your IRA money in Vanguard's S&P 500 index fund, which has an expense ratio of an appealingly low 0.15%. If you have only \$1,000, you can start with